Q11

- Share prices reflect the market's expectations of future cash flows, which is a reflection of both the business and the manner in which it is being managed [1]
- If the directors' management is dishonest or incompetent then the share price will decrease, which may prompt questions about the quality of management [1]
- Share prices are generally driven by informed and competent investors, but all shareholders can interpret the decline of the share price as "bad news" and can consider whether a change of direction might be required [1]
- The ultimate sanction for poor share price performance is that the company will be regarded as a prime candidate for takeover [1]
- Poorly performing directors could find that a predator believes that it would be potentially profitable to offer a premium over the share price in order to take control and to manage the company more efficiently [1]
- Directors may receive shares as part of their remuneration packages. If so, they will have a direct incentive to act in the shareholders' interests in order to maximise the value of their personal shareholdings [1]

[6, Max 5]

Many candidates demonstrated a good understanding of the factors that drive share prices. Candidates were less aware of the link between share price and directors' performance. There were, however, some very good answers.